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Quickmart PLC
IPO Initiation of Coverage

An independently constructed, cash-flow-led buyside assessment of the KES 7.50 per-share secondary offer.

IPO PRICE	MODEL BASE VALUE	MODEL RANGE	RECOMMENDATION
KES 7.50	**KES 5.10**	**KES 1.18–9.51**	**WATCH / DEFER**

> **Investment conclusion.** Quickmart's operating history and cash generation justify serious consideration. However, the proposed price is not automatically attractive once lease principal, reinvestment and an equity cost of capital are considered. The scenario outputs below are illustrative analyst assumptions—not market quotes, independently verified forecasts or an audited valuation. A final subscription mandate requires model and source verification.

1. Executive investment thesis and variant perception

Quickmart has expanded revenue from KES 25.68bn in 2021 to KES 50.43bn in 2025. Its grocery footprint, supplier terms and operating leverage are genuine positives. The market's headline EV/adjusted EBITDA comparison can overstate cheapness if IFRS 16 lease effects are ignored. The investor must also distinguish reported from adjusted earnings and recognise that this IPO injects no capital into Quickmart.

2. Offer and ownership economics

Term	Offer
Price	KES 7.50/share
Issued shares	4.0bn
Shares offered	2.0bn (50%)
Equity market value	KES 30.0bn
Gross proceeds	KES 15.0bn
Issuer proceeds	KES 0: 100% secondary
Selling shareholder	Sokoni Retail Kenya Ltd
Expected listing	12 November 2026 (subject to change)

IPO is a liquidity event for existing holders. Examine post-listing float, lock-up exceptions, related-party transactions, ownership control, and dividend entitlements before subscribing.

3. Operating and financial reconstruction

Metric (KES bn)	FY2021	FY2023	FY2024	FY2025	H1 2026
Revenue	25.68	41.22	46.71	50.43	27.27
Reported EBIT	1.10	1.98	2.97	3.45	1.95
Reported PAT	0.18	0.45	1.13	1.51	0.87
Adjusted EBITDA	2.60	3.85	4.87	5.36	2.97
CFO after tax	1.98	3.96	4.21	4.83	1.38

2025 operating cash flow of KES 4.83bn is not equivalent to distributable cash flow. After roughly KES 1.09bn property and equipment purchases and KES 1.61bn lease repayments, an indicative cash-after-reinvestment figure is around KES 2.12bn before other investing, financing and any accounting reclassifications. The issuer also highlights a structurally negative cash-conversion cycle, which could reverse.

4. Management outlook versus independent underwriting

Metric	2026E management	2027E management
Revenue	KES 58.20bn	KES 67.44bn
EBIT	KES 4.41bn	KES 5.57bn
PAT	KES 2.10bn	KES 2.85bn
Adjusted EBITDA	KES 6.59bn	KES 7.76bn
Capex	KES 1.80bn	KES 1.80bn
LFL growth	~6%	~6%
Dividends	KES 2.0bn	KES 2.5bn

Management forecasts are used only as a starting reference. Our independent model varies CFO conversion, lease-principal burden, capital intensity and revenue growth through 2032. FY2026 and FY2027 base/bull revenue are anchored to management's disclosed numbers, while all other forecast cash-flow drivers are analyst assumptions.

5. Cash-flow valuation — primary method

Approach: cash-to-equity DCF = operating cash flow after tax less cash capex and lease principal repayments, discounted at an assumed KES cost of equity. This is an FCFE-style valuation, not the enterprise FCFF/WACC model originally requested. It avoids a direct IFRS 16 lease-liability deduction after already charging cash lease principal. It assumes net conventional borrowing and other financing flows are immaterial or sustainable at neutral levels; this must be validated. For a formal FCFF/WACC cross-check, rebuild cash operating costs and exclude lease principal consistently before deducting lease liabilities in the EV-to-equity bridge.

Scenario	Cost of equity	Terminal growth	Equity value (KES bn)	Value/share	vs IPO
Bear	20.5%	3.5%	4.7	KES 1.18	-84%
Base	17.5%	4.5%	20.4	KES 5.10	-32%
Bull	15.5%	5.0%	38.1	KES 9.51	+27%

Base-case projected cash to equity (KES bn):

Year	Revenue	CFO	Cash capex	Lease principal proxy	Equity cash flow
2026	58.20	5.18	1.80	1.86	1.52
2027	67.44	6.00	1.80	2.16	2.04
2028	75.53	6.80	1.90	2.42	2.48
2029	83.46	7.59	2.00	2.67	2.92
2030	90.97	8.28	2.10	2.91	3.27
2031	98.25	9.04	2.20	3.14	3.69
2032	105.12	9.67	2.30	3.36	4.01

Base-case terminal value accounts for **51%** of discounted equity value. This sensitivity is material. None of these scenario values is a guaranteed trading price or a formal 12-month price target.

6. Valuation sensitivity and reverse underwriting

Forward P/E	Implied value/share	vs KES 7.50
10x	KES 5.26	-30%
12x	KES 6.31	-16%
13x	KES 6.83	-9%
14x	KES 7.36	-2%
16x	KES 8.41	+12%
17.7x	KES 9.30	+24%
20x	KES 10.51	+40%

At KES 7.50, the offer embeds 14.3x FY2026E reported earnings. At a 12x earnings multiple, annual PAT of KES 2.5bn would be needed to support the IPO price. This is a reverse earnings-multiple check, not a full reverse DCF. A complete reverse DCF must solve for the combination of cash-flow margins, store growth, reinvestment and terminal assumptions that produces KES 30bn equity value.

7. Listed comparables

Peer	Market	2026E EV/ EBITDA	2026E P/ E	Weight / rationale
Boxer	South Africa	9.7x	21.4x	High; discount retail
Shoprite	South Africa	8.9x	21.4x	High; grocery scale
Label'Vie	Morocco	9.6x	20.0x	High; African expansion
SPAR	South Africa	6.8x	8.0x	Medium; different model
BIM	Turkey	8.6x	16.2x	Medium; emerging-market value retail
Peer sample median	Multi-market	8.9x	17.7x	Unadjusted benchmark

Peer figures are a historical Refinitiv snapshot from Stanbic, not current live prices. Peer selection should reflect store economics, growth, IFRS 16 comparability, country risk, size and liquidity. The international median is not an automatic fair multiple for a newly listed Kenyan company.

8. Earnings quality, leases and governance

- FY2026E adjusted EBITDA of KES 6.585bn exceeds reported EBITDA of KES 6.279bn by KES 306m; review the related-party and other cost add-backs.
- As of H1 2026, the issuer's net debt including lease liabilities was approximately KES 7.273bn. A post-IFRS 16 EBITDA multiple must be compared against enterprise values with compatible lease treatment.
- FY2025 dividends of approximately KES 1.647bn exceeded PAT of KES 1.509bn; management's FY2026–27 dividend forecasts also imply high payout ratios.
- Information Memorandum describes consultancy/management agreements with promoter-linked entities terminated effective July 2026; review residual obligations, lease arrangements and governance safeguards.
- H1 2026 cash flow should be reconciled for reclassification of KES 1.1bn shareholder advance related to dividends.

9. Risks, catalysts and pre-mortem

Risk / catalyst	Monitoring indicator	Valuation relevance
New-store returns	Mature-store revenue, fit-out capex, payback	Growth cash conversion
Supplier financing	Inventory days, payable days, rebates	CFO and liquidity
Lease obligations	Cash rent, renewal terms, lease maturity	Fixed-charge coverage
Governance	Related-party leases, board independence	Equity discount
Competition	Like-for-like sales and gross margin	Operating leverage
Dividend policy	Post-capex cash coverage	Sustainable yield
Float and exits	Volumes, lock-up expiries	Market discount

Pre-mortem: A 40% loss could arise from weak store productivity, margin compression, supplier-credit reversal, lease-driven fixed costs or post-listing selling pressure. Each is testable through quarterly disclosures.

10. Decision framework and what changes our mind

Recommendation: WATCH / DEFER pending a formal independent FCFF/WACC model, confirmation of debt and lease schedules, forecast cash-flow reconciliation and comparison against contemporaneous Kenyan government yields. A cash-to-equity model is provided here as an initial intrinsic-value discipline, but should not be the sole basis of a subscription.

Upgrade triggers: independently confirmed cash after lease repayments and growth capex, credible store-level incremental ROIC, and governance protections. **Downgrade triggers:** supplier-term deterioration, persistent distributions above sustainable free cash flow, or growth that dilutes returns.

11. Source notes and limitations

1. Quick Mart PLC, *Information Memorandum*, October 2026, pp. 116–137 (historical results, cash flow, outlook, forecasts), pp. 148–150 (related-party arrangements), transaction terms and risks; original issuer document supplied.
2. Ernst & Young LLP, *Reporting Accountant's Report*, 29 September 2026, pp. 2–8 and supporting notes; compilation, review and prospective information assurance have different scopes.

3. Quick Mart Limited, *Audited Financial Statements FY2025*, signed 31 March 2026, pp. 7–10 and notes.
4. Stanbic, *Offer Price Valuation Parameters*, 22 September 2026, international trading comparables, Refinitiv snapshot dated 21 September 2026. Adviser material, not independent valuation.
5. Quickmart official IPO portal: ipo.quickmart.co.ke.
6. Tech-ish, 7 October 2026, secondary reporting on offer terms and dividend entitlements.
7. Mwango Capital, 5 October 2026, independent market commentary.

All cash-flow projections and cost-of-equity assumptions in section 5 are analyst illustrative estimates. Amounts rounded; totals may not sum exactly. This is independent research, not a solicitation or guaranteed valuation. Data cut-off: 8 October 2026.
